

August 12, 2026 08:00 PM GMT

Internet | North America

How Could Open-Weight Models Impact GenAI ROIC?

We detail 4 reasons we see hyperscalers generating healthy ROIC even as lower cost open-weight models surge, potential pricing pressure impacts on the labs, why all parties remain focused on higher token throughput and how they are improving it, and what to watch for from AMZN/GOOGL/META.

How Could Open-Weight Models Impact Our GenAI ROIC Frameworks? Following [Internet: The Paths to 25-50% GenAI ROIC \(27 Jul 2026\)](#), we have received many investor questions around how open-weight models impact hyperscaler and model provider unit economics. We and our thematics team laid out the difference between open- and closed-weight models in [Global Thematics: Weighing In: Open-Weights Models & 3 States of the World \(3 Aug 2026\)](#). Today, **let's talk why we see hyperscalers still driving healthy ROIC through open-weight enabled inference and why model throughput efficiencies and top of stack offerings remain critical for the model providers.**

What Are Open-Weight Models? The distinction between open- and closed-weight models relates to how much control the user has over the model itself. With open-weight models, users take possession of the weights, meaning they are **1)** free to download by any end user (rather than gated behind a subscription/closed API), **2)** able to be fine-tuned/re-trained on a user's proprietary data (vs. closed models served identically to everyone), and **3)** deployable where the user chooses (on-prem, in the cloud, or via API). By contrast, closed-weight models are only accessible via subscription/API, either direct from the model provider or through a hyperscaler's managed service, such as Bedrock, Vertex, Foundry, etc. **Bottom line: open-weight models add distribution routes (renting GPUs or on-prem), tend to be lower cost, and enable more customization for enterprises/SMBs using them...all of which are important to driving adoption and tech diffusion across the economy.**

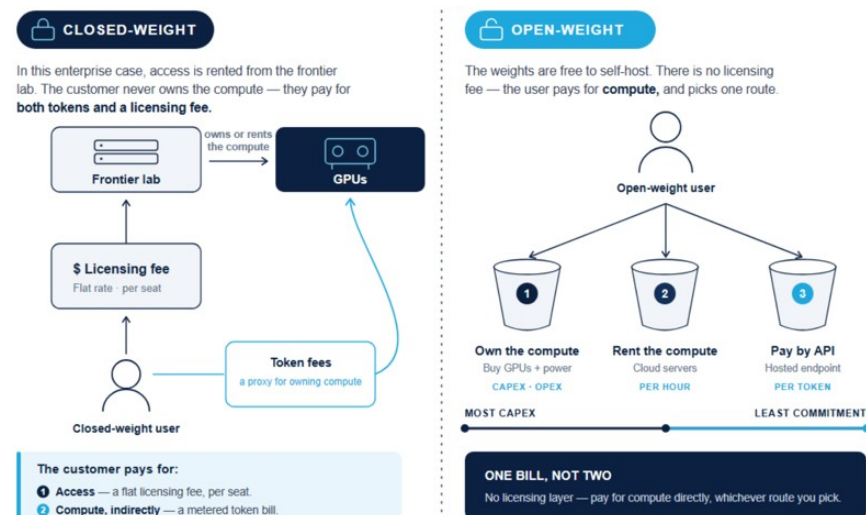
MORGAN STANLEY & CO. LLC		
Brian Nowak, CFA		
Equity Analyst		
Brian.Nowak@morganstanley.com		+1 212 761-3365
Julian Herrera		
Research Associate		
Julian.Herrera@morganstanley.com		+1 212 761-1784
Gregory Gao		
Research Associate		
Greg.Gao@morganstanley.com		+1 212 296-3125
Nikhil Javeri		
Research Associate		
Nikhil.Javeri1@morganstanley.com		+1 212 761-3742
Kavya A Narayanan		
Research Associate		
Kavya.Narayanan@morganstanley.com		+1 212 761-4183

INTERNET	
North America	Attractive
Industry View	

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

Exhibit 1: The primary differences between closed- and open-weight models are 1) the weights are able to be downloaded, 2) these weights can be fine-tuned or retrained based on user data, and 3) enterprises can run open weights on their own hardware.



Source: Company data, Morgan Stanley Research estimates

Model Labs: Open Weights To Create Pricing Pressure...Further Raising the Importance of Model Innovation and Throughput Efficiencies: Given their lower per-token price point, open-weight models create pricing competition across the model layer, and we have already seen multiple U.S. labs release lower-priced offerings (Meta's Muse Spark 1.2 released last week). We see lower token pricing (open weight, lower cost near frontier models) translating to lower incremental unit economics for model providers...putting a higher importance on token throughput, adoption and building an ecosystem (similar to other open builds like Android). **This reinforces the importance of model architecture efficiency (to drive token throughput and enable ROIC with lower prices) and end-user capability and differentiation to cause enterprises/developers/SMBs to choose specific models over other models. Bringing it to the company level, investors should watch what Meta continues to ship in its new suite of Muse models...and this is why new Google Gemini Flash models (its more efficient models) are just as important as Gemini 4 being on the frontier later this year, in our view.**

Putting numbers to it, in our lab model API ROIC frameworks, we assume token pricing *well* below the largest frontier models (and some open weight models), with a base case of ~\$1.75 per million tokens. Meanwhile, token throughput anchors to a 2,000–3,500 tokens/sec/GPU range built off public inference benchmarks running workloads of open-weighted DeepSeek-V4-Pro 1.6T on GB300 hardware. **Pricing is likely to go lower over time, but notably, these assumptions still generate ~20-60% ROIC on 1GW of owned GB300.**

Please let us know if interested in our interactive GenAI ROIC models.

Exhibit 2: For the labs, we expect open-weight models to put downward pressure on token pricing, putting an even higher importance on token throughput improvements and end-user use case differentiation to drive higher revenue/GW and healthy model-level ROIC...

NOPAT Margin of Model Enabled API on 1GW of 3P Infrastructure (\$bn)						Notes:
Revenue:						
GB300 Chips in 1GW	410,256	410,256	410,256	410,256	410,256	MS est. of GB300 chips in 1GW datacenter
(X) % of Capacity Used for Inference	50%	60%	65%	70%	80%	Illustrative variable on % of capacity used for inference vs. training
(=) Revenue Generating Chips	205,128	246,154	266,667	287,179	328,205	
(X) Tokens/Second/GPU	3,500	3,000	2,750	2,500	2,000	MS est. range, SemiAnalysis Inference X, NVDA GTC
(X) Seconds per Year (K)	31,536	31,536	31,536	31,536	31,536	
(=) Tokens per Year (tn)	23	23	23	23	21	
(X) Token Pricing per Million	\$1.00	\$1.50	\$1.75	\$2.00	\$2.50	MS est. range, Muse Spark 1.1 blended pricing \$1.58 (8K/1K I/O)
(=) Revenue/GW	\$23	\$35	\$40	\$45	\$52	
Costs:						
GPU Rental Price/Hour	\$7.0	\$8.0	\$8.5	\$9.0	\$10.0	MS est: GPU rental px/hr (supported by industry/company data)
(X) Hours/Year	8,760	8,760	8,760	8,760	8,760	
(X) GB300 Chips in 1GW	410,256	410,256	410,256	410,256	410,256	MS est: GB300 chips in 1GW datacenter
(=) Cost of Compute/GW (\$bn)	\$25	\$29	\$31	\$32	\$36	

Source: Company data, Morgan Stanley Research Estimates

Exhibit 3: ... and as pricing and revenue/GW remain healthy...the hyperscalers will generate ROIC on their scarce and capital-intensive compute assets.

ROIC of Hyperscaler GPU Rentals (1aaS) on 1GW GB300 DC (\$bn)						Notes:
Revenue:						
Annual Hours	8,760	8,760	8,760	8,760	8,760	24 hrs. x 365 days
(X) GB300 Chips in 1GW	410,256	410,256	410,256	410,256	410,256	MS est of GB300 chips in 1GW datacenter
(=) GPU Hours (billions)	3.6	3.6	3.6	3.6	3.6	
(X) Utilization (%)	75%	75%	75%	75%	75%	MS est. of utilization
(X) Est. Price/Hour	\$7.0	\$8.0	\$8.5	\$9.0	\$10.0	MS est: GPU rental px/hr (range supported by industry/company data)
(=) Revenue/GW	\$18.9	\$21.6	\$22.9	\$24.3	\$27.0	
Costs:						
IT Depreciation Cost	\$5	\$5	\$5	\$5	\$5	IT capex divided by IT useful life
(+) Non-IT Depreciation Cost	\$1	\$1	\$1	\$1	\$1	Non-IT capex divided by Non-IT useful life
(+) Energy + Other Opex	\$2	\$2	\$2	\$2	\$2	Energy, labor, maintenance, etc, industry/company data
(=) Total Opex/GW	\$7.6	\$7.6	\$7.6	\$7.6	\$7.6	
EBIT & NOPAT:						
Incremental EBIT/GW	\$11.2	\$13.9	\$15.3	\$16.6	\$19.3	
Incremental EBIT Margins	60%	65%	67%	69%	72%	
(X) Tax Rate	21%	21%	21%	21%	21%	
(=) NOPAT	\$8.9	\$11.0	\$12.1	\$13.1	\$15.3	
% ROIC (NOPAT / Total Capex)	23%	28%	31%	34%	39%	

Source: Company data, Morgan Stanley Research Estimates

How Model Players and Hyperscalers are Both Innovating to Improve Token

Throughput: As detailed in [What Did We Learn and What Matters Next: GenAI ROIC Feedback, Open Source, and AMZN/GOOG/META from Here \(11 Aug 2026\)](#) and shown above, **token throughput is a critical input to achieving revenue/GW at the model layer...** improvements here come from **1)** better hardware (more memory capacity at chip level and rack level) and faster interconnects, **2)** improvements on model architecture in increasing model sparsity within MoE models (active parameters/total parameters), and **3)** software improvements from request batching. **4)** Importantly, we believe hyperscalers drive their own throughput gains to the model layer from both proprietary hardware (custom silicon via TPUs/Trainium) and software (hyperscalers have the deepest enterprise footprints and thus the highest volume of requests to batch). Given that higher token throughput directly corresponds to better revenue/GW at the model layer, we see hyperscalers' ability to drive throughput as directly supportive of their own economics as well (through durable GPU rental pricing).

Hyperscalers: 4 Reasons We Believe Hyperscaler Unit Economics Will Remain

Attractive Hosting Lower Cost Open Weight Models: While near frontier, lower-cost models (like Muse) and open-weight models have lower per-token pricing, we see hyperscalers still enabling and benefiting from their adoption at attractive ROIC for the following reasons: **1)** Compute is the scarce resource, and enterprises rely on hyperscalers to provide compute necessary for open-weight inference workloads. **2)** We expect hyperscalers to continue to monetize their multi-billion dollar compute

investments in ways that maximizes ROIC (compute capacity pricing is as simple as supply and demand). With lower cost open weight models important to driving GenAI global adoption, this means it may come with substantially more volume at lower per token or GW unit economics. EBIT dollar growth matters more than percentage margins here. **3)** As detailed above, we expect hyperscalers and model developers to remain highly focused on token throughput and improving incremental unit economics. **4)** As detailed below, we expect all types of GenAI workloads to drive attach of other services and incremental profitability. **Bottom Line:** Compute is the scarce and expensive resource that we believe hyperscalers will rationally monetize...and efforts to remain the lower-cost provider of compute (through improving token throughput) will likely remain critical. At a company level, **investors should remain focused on the hyperscaler (or owner of compute) that has the lowest cost to serve (through custom silicon, unique 1P models/offers and/or other software/hardware advances). We remain OW AMZN and GOOGL for these reasons.**

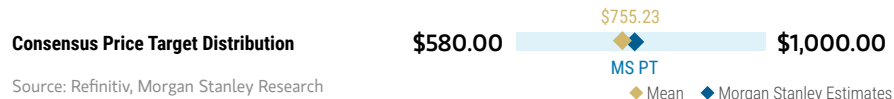
Side Note On How Hyperscalers Monetize Open Weight Models: Hyperscaler monetization paths include **1) serverless API token revenue** (charging for open models behind managed API services like Bedrock, Foundry, Vertex), **2) accelerator rental revenue** (customers self deploying need dedicated GPU capacity), **3) RAG** (connecting open models to proprietary data...driving storage and database revenue), **4) Security** (governance, guardrails, identity, monitoring, etc.). Notably, while API token revenue on open models may be a loss leader (like milk in a grocery store), open models have the potential to generate more core cloud infrastructure attach per workload.

Risk Reward – Meta Platforms Inc (META.O) Top Pick

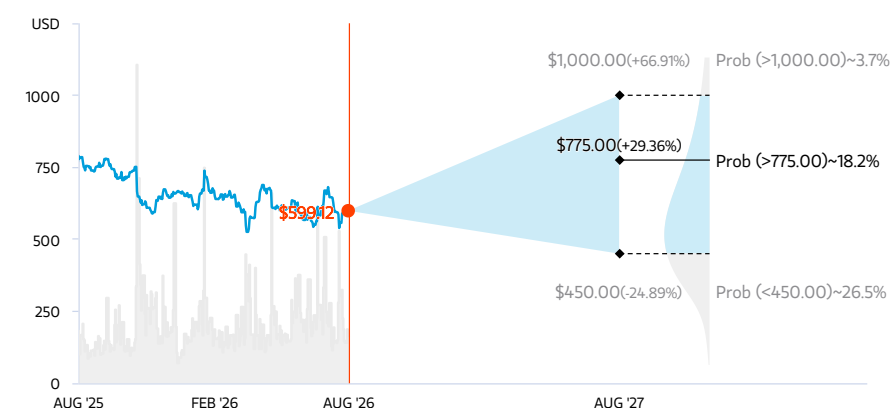
The Age of Efficiency

PRICE TARGET \$775.00

Our \$775 PT is based on applying a ~23X P/E multiple to the average of our \$34/\$35 EPS in '27/'28.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

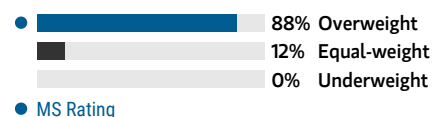


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 11 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **A Structural Pivot to Focus on Multi-Year Efficiency, Productivity and Leaner Operations...** We think META's "year of efficiency" is more than just a 365 day change...but rather a structural and cultural pivot to operate leaner and with a greater focus on investor returns...even through investment.
- **Importantly, Revenue and Engagement Trends Are Also Improving Across META's Platform...** our industry and company conversations speak to progress driving incremental Reels engagement and monetization...and traction improving ad measurement/attribution in the post IDFA world.
- **3 Underappreciated "Call Options"** including 1) further AI driven upside, 2) subscription adoption and 3) click-to-message.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Self-help: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$1,000.00

Implied ~28x blended '27/'28 P/E

AI investments drive increased engagement and lead to new products/services, which supports outsized ad monetization and revenue growth. Execution on newer offerings (like click to message, subscriptions, and Meta Business AI) could also contribute to higher than expected growth. META could also drive further efficiency gains and be more successful in closing the Reels monetization gap.

BASE CASE

\$775.00

Implied ~23X base case blended '27/'28 P/E

Ad revenue grows ~27% in '26 as META's AI investments drive incremental Reels engagement/monetization and support improved performance and ad measurement/attribution across the Family of Apps. We also see META continuing to focus on efficiency and explore new ways to monetize META's extensive data center capacity.

BEAR CASE

\$450.00

Implied ~15x blended '27/'28 P/E

Declines in engagement and/or evidence of Reels monetization ramping more slowly than expected could lead to lower growth and greater uncertainty. We also watch for any macro uncertainty, regulation that limits META's ability to target ads, Higher capital intensity from mis-execution around the data center build widens losses with minimal ROIC. Any additional opex and capex could weigh on operating income growth and FCF.

Risk Reward – Meta Platforms Inc (META.O)

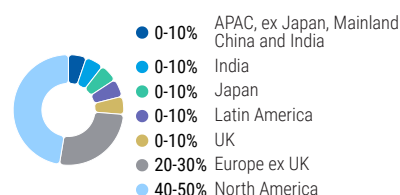
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Constant Currency % Growth (%)	22.5	26.6	22.2	19.9
Operating income (GAAP) (\$, mm)	83,276	89,133	103,424	111,210
Consolidated Total Daily Active Users (mm)	2,239.9	2,294.5	2,344.5	2,389.2

INVESTMENT DRIVERS

- We are positive on META's structural pivot towards efficiency and improving revenue, engagement and Reels. We continue to monitor META's progress on call options (AI, subscriptions, click-to-message) and further investment in AI/data centers.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected Reels monetization & higher engagement growth
- Increased benefit from AI investment
- Revenue driven by subscriptions and/or click-to-message ads
- Further efficiency improvements drive outsized FCF growth

RISKS TO DOWNSIDE

- Macro pressures/weaker consumer spend
- Regulation impacts ability to target ads
- Reality labs losses widen further
- Mis-execution risk could result in higher LT capital intensity

OWNERSHIP POSITIONING

Inst. Owners, % Active	55.5%				
HF Sector Long/Short Ratio	2.4x				
HF Sector Net Exposure	11.4%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue				
(\$, mm)	251,307	255,888	254,023	257,877

EBITDA				
(\$, mm)	111,631	146,354	141,257	161,219

Net income				
(\$, mm)	75,549	82,353	81,716	93,113

EPS				
(\$)	29.32	31.80	31.70	33.65

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

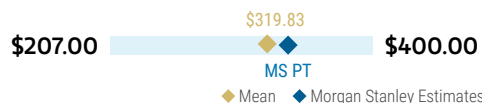
Risk Reward – Amazon.com Inc (AMZN.O)

AMZN Risk Reward

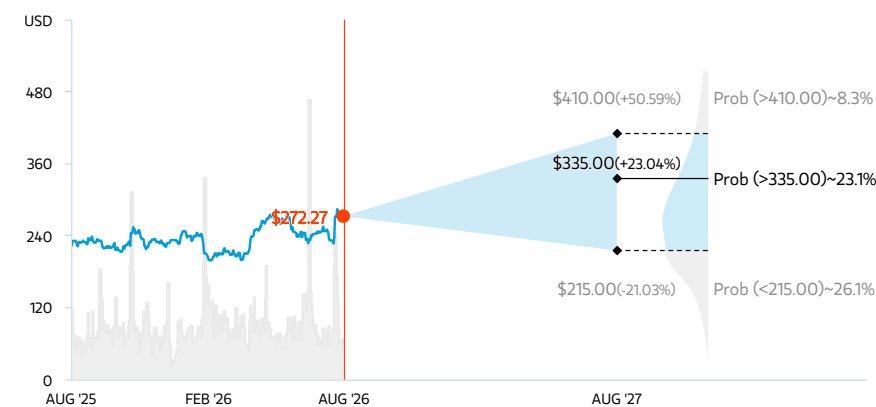
PRICE TARGET \$335.00

Our \$335 PT is based on applying a ~25X P/E multiple to an average of our \$14 of '27/'28 EPS (roll to mid-year), which implies ~28X '27 EPS and ~22X '28 EPS.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 11 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 11 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE \$410.00

~27X an average of \$15 of bull '27/'28 EPS

Our Bull case is derived from higher Revenue and EBIT margin assumptions than in our base case

BASE CASE \$335.00

~25X an average of \$14 of base '27/'28 EPS

Our \$335 PT is based on applying a ~25X P/E multiple to an average of our \$14 of '27/'28 EPS (roll to mid-year), which implies ~28X '27 EPS and ~22X '28 EPS.

BEAR CASE \$215.00

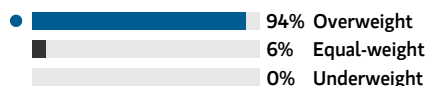
~17X an average of \$12 of bear '27/'28 EPS

Our Bear case is derived from lower Revenue and EBIT margin assumptions than in our base case

OVERWEIGHT THESIS

- Amazon's high-margin businesses continue to allow Amazon to drive greater profitability while still continuing to invest (last mile delivery, fulfillment, Prime Now, Fresh, Prime digital content, Alexa/Echo, India, AWS, etc).
- Amazon Prime membership growth drives recurring revenue and positive mix shift.
- Cloud adoption hitting an inflection point.
- Advertising serves as a key area for both further growth potential and profitability flow-through.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
New Data Era: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Amazon.com Inc (AMZN.O)

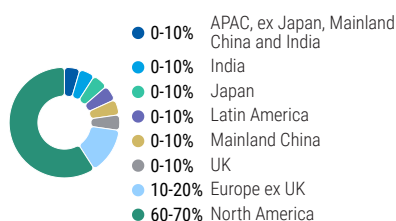
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Revenue (\$, mm)	716,924	833,352	973,667	1,134,182
Gross Profit (\$, mm)	361,287	433,328	534,679	656,405
GAAP EBIT (\$, mm)	79,975	116,753	166,089	227,300
Paid Unit Growth (y/y) (%)	10.8	12.9	9.6	9.1
AWS Revenue Growth (%)	19.7	37.4	40.8	36.8

INVESTMENT DRIVERS

- Amazon's high-margin businesses continue to allow Amazon to drive greater profitability while still continuing to invest
- Cloud is in a multi-decade secular adoption cycle
- Amazon is gaining share in eCommerce/retail and share of consumers' wallets

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected AWS rev growth and stable margin expansion
- Faster than expected Retail rev growth, stable to expanding 1P Merch Margins
- Greater than expected shipping and fulfillment leverage

RISKS TO DOWNSIDE

- Investments step up and continue for longer than expected
- Merch margins worse than expected
- AWS revenue decelerates and/or margins decline

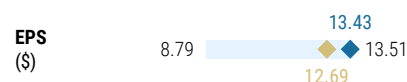
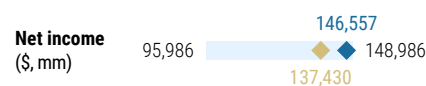
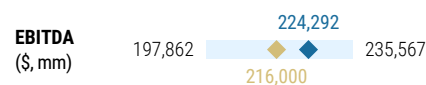
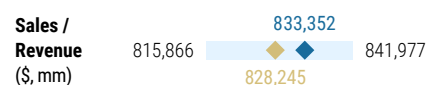
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.3%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	10.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

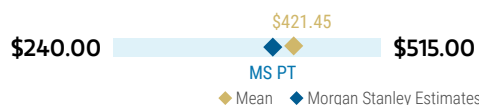
Risk Reward – Alphabet Inc. (GOOGL.O)

Alphabet Inc.

PRICE TARGET \$400.00

Our \$400 PT is based on applying a ~24X P/E multiple to the average of our \$15/\$18 EPS in '27/'28, and implies paying ~1.6X PEG, a ~35% premium to GOOGL's peer median.

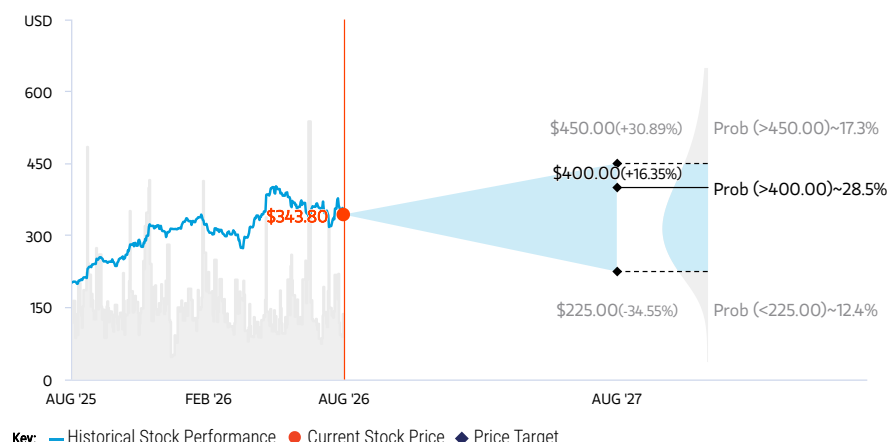
Consensus Price Target Distribution



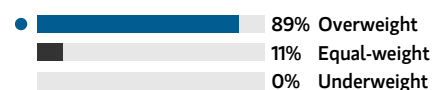
OVERWEIGHT THESIS

- Continued AI-driven platform-level innovation on Search, YouTube, Cloud, and with other offerings improve confidence in the durability of long term growth.
- Continued expense discipline leads to operating leverage and upward revisions on EPS and FCF estimates.

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 11 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$450.00

~26X Avg. '27/'28 Bull Case EPS of
~\$16/~\$19

Faster innovation and Search/GCP acceleration lead to multiple expansion and higher earnings power. Search revenue accelerates as AI-driven innovation delivers meaningful upside to engagement. New AI offerings prove incremental to the top and bottom line and don't cannibalize core Search. YouTube and Cloud become even bigger contributors to top-line growth, and operate at a higher margin than in our base case.

BASE CASE

\$400.00

~24X Avg. '27/'28 Base Case EPS of
~\$15/~\$18

Assumes pragmatic search revenue growth in '26, continued incremental platform monetization and Google Cloud acceleration in '26. As GOOGL continues platform-level innovation on Search and other categories, we assume pragmatic revenue/EBITDA growth. GOOGL introduces new AI offerings which increase confidence in the durability of long term growth and calm fears around competition. Google Cloud accelerates driven by new partnerships and growing backlog.

BEAR CASE

\$225.00

~15X Avg. '27/'28 Bear Case EPS of
~\$14/~\$16

Global ad growth slows further and margins face pressure. Assumes slower search advertising growth, and that ad spending slows further. Expense discipline fails to materialize leading to lower than expected margin expansion and adj. EBITDA. New AI products create greater than expected margin pressure due to lower monetization rates and increased compute intensity.

Risk Reward – Alphabet Inc. (GOOGL.O)

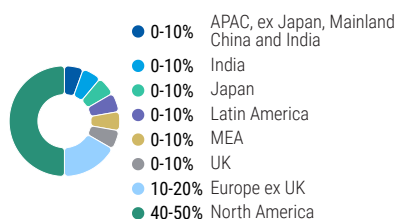
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total operating income (GAAP) (\$, mm)	129,039	176,395	227,461	280,882
GAAP Operating Income (Loss) (\$, mm)	137,054	183,870	234,661	287,432

INVESTMENT DRIVERS

- Search advertising spend continues to gain share of global advertising budgets.
- Mobile search advertising continues to take share of online budgets.
- Investments in video driving longer-term monetization at YouTube.
- Moderation of expense growth.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- New products generate higher than expected top line contribution.
- Capital returns through greater share buybacks.
- Hiring and/or spend per headcount is lower than expected.

RISKS TO DOWNSIDE

- High exposure to SMB and travel could pressure ad revenue in a recession
- Improved disclosure around the Google and Other Alphabet segments may not decrease the overall investment activity of the business.

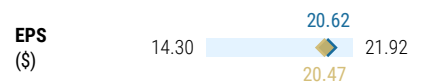
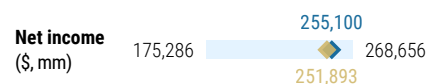
OWNERSHIP POSITIONING

Inst. Owners, % Active	55.9%	
HF Sector Long/Short Ratio	2.4x	
HF Sector Net Exposure	11.4%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Brian Nowak, CFA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

The analyst or strategist (or a household member) identified below owns the following securities (or related derivatives): Gregory Gao - Alphabet Inc.(common or preferred stock), Amazon.com Inc(common or preferred stock), Meta Platforms Inc(common or preferred stock), Reddit Inc(common or preferred stock), Uber Technologies Inc(common or preferred stock).

As of July 31, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Airbnb Inc, Alphabet Inc., Amazon.com Inc, AppLovin Corp, Booking Holdings Inc, Chewy Inc, Criteo SA, DoorDash Inc, DoubleVerify Holdings Inc, Duolingo Inc, eBay Inc, Etsy Inc, Expedia Inc, FIGS, Inc., Grindr Inc., Instacart, Lyft Inc, Match Group Inc, Meta Platforms Inc, Opendoor Technologies Inc, Peloton Interactive, Inc., Pinterest Inc, Reddit Inc, Roblox Corporation, Snap Inc., Take-Two Interactive Software, Trade Desk Inc, Uber Technologies Inc, Unity Software Inc, Yelp Inc, Zillow Group Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Airbnb Inc, Alphabet Inc., Amazon.com Inc, Compass, Inc., eBay Inc, Liffort Mobile Inc., Meta Platforms Inc, Uber Technologies Inc.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Airbnb Inc, Alphabet Inc., Amazon.com Inc, Chewy Inc, eBay Inc, Instacart, Liffort Mobile Inc., Meta Platforms Inc, Uber Technologies Inc.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Airbnb Inc, Alphabet Inc., Amazon.com Inc, AppLovin Corp, Booking Holdings Inc, Bumble Inc., Chewy Inc, Criteo SA, DoorDash Inc, DoubleVerify Holdings Inc, Duolingo Inc, eBay Inc, Etsy Inc, Expedia Inc., FIGS, Inc., Instacart, Liffort Mobile Inc., Lyft Inc, Match Group Inc, Meta Platforms Inc, MNTN Inc, Opendoor Technologies Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Reddit Inc, Revolve Group Inc, Roblox Corporation, Snap Inc., Take-Two Interactive Software, Trade Desk Inc, Uber Technologies Inc, Unity Software Inc, Webtoon Entertainment Inc, Yelp Inc, Zillow Group Inc.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Airbnb Inc, Alphabet Inc., Amazon.com Inc, AppLovin Corp, Booking Holdings Inc, Chewy Inc, DoorDash Inc, eBay Inc, Expedia Inc., Instacart, Liffort Mobile Inc., Match Group Inc, Meta Platforms Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Reddit Inc, Revolve Group Inc, Snap Inc., Take-Two Interactive Software, Uber Technologies Inc, Unity Software Inc, WW International Inc, Zillow Group Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Airbnb Inc, Alphabet Inc., Amazon.com Inc, AppLovin Corp, Booking Holdings Inc, Bumble Inc., Chewy Inc, Compass, Inc., Criteo SA, DoorDash Inc, DoubleVerify Holdings Inc, Duolingo Inc, eBay Inc, Etsy Inc, Expedia Inc., FIGS, Inc., Instacart, Liffort Mobile Inc., Lyft Inc, Match Group Inc, Meta Platforms Inc, MNTN Inc, Opendoor Technologies Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Reddit Inc, Revolve Group Inc, Roblox Corporation, Snap Inc., Take-Two Interactive Software, Trade Desk Inc, Uber Technologies Inc, Unity Software Inc, Webtoon Entertainment Inc, Yelp Inc, Zillow Group Inc.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Airbnb Inc, Alphabet Inc., Amazon.com Inc, AppLovin Corp, Booking Holdings Inc, Chewy Inc, DoorDash Inc, eBay Inc, Etsy Inc, Expedia Inc., Instacart, Liffort Mobile Inc., Lyft Inc, Match Group Inc, Meta Platforms Inc, Opendoor Technologies Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Reddit Inc, Revolve Group Inc, Snap Inc., Take-Two Interactive Software, Uber Technologies Inc, Unity Software Inc, WW International Inc, Zillow Group Inc.

An employee, director or consultant of Morgan Stanley is a director of eBay Inc. This person is not a research analyst or a member of a research analyst's household.

Morgan Stanley & Co. LLC makes a market in the securities of DoubleVerify Holdings Inc, FIGS, Inc., Grindr Inc., Playtika Holding Corp, Revolve Group Inc, Webtoon Entertainment Inc, Yelp Inc. The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan

Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of July 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

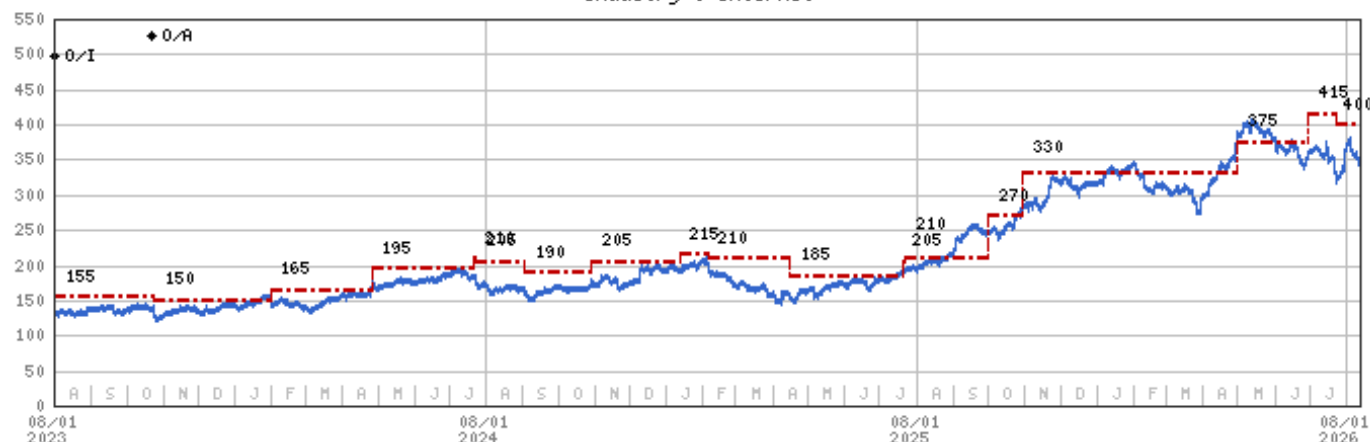
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Alphabet Inc. (GOOGL.O) - As of 08/12/26 GMT in USD
Industry : Internet



Stock Rating History: 8/1/21 : O/I; 10/22/23 : O/A

Price Target History: 7/27/21 : 150; 11/1/21 : 160; 1/19/22 : 171.5; 2/2/22 : 172.5; 4/27/22 : 163.5; 5/31/22 : 150; 7/18/22 : 140; 7/27/22 : 145; 10/9/22 : 135; 10/26/22 : 125; 11/14/22 : 120; 1/17/23 : 125; 2/3/23 : 135; 4/25/23 : 140; 7/12/23 : 150; 7/26/23 : 155; 10/25/23 : 150; 1/31/24 : 165; 4/26/24 : 195; 7/22/24 : 210; 7/24/24 : 205; 9/2/24 : 190; 10/30/24 : 205; 1/12/25 : 215; 2/5/25 : 210; 4/16/25 : 185; 7/20/25 : 205; 7/23/25 : 210; 10/1/25 : 270; 10/30/25 : 330; 4/30/26 : 375; 6/29/26 : 415; 7/23/26 : 400

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Amazon.com Inc (AMZN.O) - As of 08/12/26 GMT in USD
Industry : Internet



Stock Rating History: 8/1/21 : O/I; 10/22/23 : O/A

Price Target History: 7/30/21 : 215; 9/26/21 : 205; 10/29/21 : 200; 1/10/22 : 210; 4/29/22 : 190; 5/31/22 : 175; 10/28/22 : 140; 2/3/23 : 150; 8/4/23 : 175; 1/10/24 : 185; 2/2/24 : 200; 4/7/24 : 215; 5/1/24 : 220; 7/22/24 : 240; 8/5/24 : 210; 11/3/24 : 230; 1/12/25 : 280; 4/13/25 : 245; 5/2/25 : 300; 7/10/25 : 315; 10/31/25 : 300; 2/6/26 : 300; 4/30/26 : 330; 7/31/26 : 335

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Meta Platforms Inc (META.O) - As of 08/12/26 GMT in USD
Industry : Internet



Stock Rating History: 8/1/21 : O/I; 10/27/22 : E/I; 3/20/23 : O/I; 10/22/23 : O/A

Price Target History: 7/28/21 : 400; 10/26/21 : 365; 1/19/22 : 395; 2/3/22 : 360; 3/2/22 : 325; 4/28/22 : 330; 5/31/22 : 300; 7/18/22 : 280; 8/18/22 : 225; 10/9/22 : 205; 10/27/22 : 105; 11/14/22 : 100; 1/17/23 : 130; 2/2/23 : 190; 3/20/23 : 250; 4/26/23 : 300; 7/12/23 : 350; 7/27/23 : 375; 2/2/24 : 550; 7/31/24 : 575; 10/20/24 : 600; 1/12/25 : 660; 4/16/25 : 615; 5/1/25 : 650; 7/20/25 : 750; 7/31/25 : 850; 10/30/25 : 820; 12/10/25 : 750; 1/29/26 : 825; 3/29/26 : 775

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Alphabet Inc., Amazon.com Inc, Booking Holdings Inc, Meta Platforms Inc, Uber Technologies Inc. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (<https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/>

[MSICPL_Morgan_Stanley_Research_Audit_Report.pdf](#).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory

(Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/11/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	\$184.98
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	\$343.80
Amazon.com Inc (AMZN.O)	O (04/24/2015)	\$272.27
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	\$212.87
DoorDash Inc (DASH.O)	O (02/21/2024)	\$212.00
Expedia Inc. (EXPE.O)	E (01/09/2019)	\$321.07
Instacart (CART.O)	E (01/29/2024)	\$49.39
Lyft Inc (LYFT.O)	E (10/24/2019)	\$17.54
Meta Platforms Inc (META.O)	O (03/20/2023)	\$599.12
Pinterest Inc (PINS.N)	O (07/20/2025)	\$23.75
Reddit Inc (RDDT.N)	O (12/08/2024)	\$156.19
Snap Inc. (SNAP.N)	E (07/22/2024)	\$5.51
Uber Technologies Inc (UBER.N)	++	\$78.54
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	\$318.68
Compass, Inc. (COMP.N)	E (01/12/2026)	\$12.69
Criteo SA (CRTO.O)	E (01/26/2016)	\$17.26
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	\$13.25
Liftoff Mobile Inc. (LFTO.O)	E (06/29/2026)	\$24.16
MNTN Inc (MNTN.N)	E (06/16/2025)	\$11.41
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	\$3.58
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	\$2.67
Roblox Corporation (RBLX.N)	O (11/04/2024)	\$36.22
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	\$250.50
Trade Desk Inc (TTD.O)	E (09/10/2025)	\$13.56
Unity Software Inc (U.N)	O (09/02/2024)	\$43.87
Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	\$8.81

Yelp Inc (YELP.N)	U (01/10/2019)	\$23.61
Zillow Group Inc (Z.O)	E (04/18/2018)	\$34.14
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	\$2.78
Chewy Inc (CHWY.N)	O (10/31/2023)	\$22.47
Duolingo Inc (DUOL.O)	E (02/27/2026)	\$135.44
eBay Inc (EBAY.O)	O (04/18/2024)	\$106.01
Etsy Inc (ETSY.N)	E (07/20/2025)	\$79.48
FIGS, Inc. (FIGS.N)	E (02/29/2024)	\$14.27
Grindr Inc. (GRND.N)	O (07/01/2026)	\$16.23
Match Group Inc (MTCH.O)	E (04/18/2024)	\$36.80
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	\$5.60
Revolve Group Inc (RVLV.N)	E (10/20/2024)	\$23.79
WW International Inc (WW.O)	E (08/01/2025)	\$15.01

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.